aimed to restore intrawar deterrence by issuing counterthreats of severe retaliation and escalation, stating that any cutoff from SWIFT would be met with a response "without limits."[147] Andrei Kostin, the head of Russia's second-largest bank, remarked that "excluding Russia from the global SWIFT banking transactions system would mean "war."[148] In a meeting with international experts, Putin underscored the certain blowback that would result, contending that sanctions are reinforcing the inclination of many countries to become "less dependent on the dollar" and to set up alternative financial and payments systems and reserve currencies, partly in coordination with China. Suggesting that the United States does not have a monopoly on financial statecraft, he warned, "I think that our American partners are quite simply cutting the branch they are sitting on. You cannot mix politics and the economy, but this is what is happening now."[149] Many in the audience surely appreciated the cheeky hypocrisy of Putin's assertion, given decades of Russian application of geoeconomic statecraft in its neighborhood.[150]

Offense in Financial Statecraft: Russia's Pursuit of Regional Influence

Although Putin has repeatedly asserted that it is not Russia's goal to restore the Soviet Union,[151] Moscow seeks to exert a dominant role in the former Soviet space, relies primarily on economic inducements and coercion to achieve this position, and uses the BRICS to help advance this goal. Manipulating the pricing and supply of gas, import bans, and, more recently, cyber-attacks have been the principal instruments of Russian statecraft since the 1990s. Russia subsidized lower prices for many former Soviet republics and periodically threatened cuts or higher prices if governments sought to venture outside Russia's orbit. Russia also has waged trade wars with its neighbors and two limited armed conflicts with Georgia (2008) and Ukraine (2014–present).

After it became clear in the 1990s that Russia could not join the West on its terms in a Concert structure, Moscow started to prioritize regional economic organizations. In the 1990s, this took the form of the now largely defunct Commonwealth of Independent States; then a Customs Union linking Russia, Belarus, and Kazakhstan in 2010; then a Single Economic Space, introduced in early 2012; and most recently, since 2015, the Eurasian Economic Union (EEU), which now also includes Kyrgyzstan and